KYC INVESTIGATION MEMO PACKAGE

Corporate Client Due Diligence Portfolio

Global Transaction Banking — Due Diligence Division

Prepared by	Independent AML/KYC Analyst
Document type	Corporate Client Due Diligence Investigation Memo
Regulatory basis	PCMLTFA | FINTRAC Risk-Based Approach Guidance (2023) | OSFI Guideline B-8 | FATF Recommendations 10, 12, 24
Cases included	Case 1 — Maple Leaf Trading Corp. (Medium Risk) | Case 2 — Golden Bridge Capital Partners LP (High Risk / PEP)
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All client names, individuals, and entities in this document are entirely fictional and created for portfolio demonstration purposes. No real client data has been used. Regulatory citations are drawn from publicly available FINTRAC, PCMLTFA, and FATF guidance documents.

About This Document

This memo package simulates the KYC onboarding workflow of a GTB Due Diligence analyst at a Schedule I Canadian bank. Two fictional corporate clients are reviewed from intake through to a final VP-level disposition decision. The methodology, risk dimensions, and escalation paths used here are aligned to FINTRAC's Risk-Based Approach Guidance (2023), PCMLTFA obligations, and OSFI Guideline B-8.

Regulatory Framework

PCMLTFA	Proceeds of Crime (Money Laundering) and Terrorist Financing Act, R.S.C. 1991, c. 26. Key sections: s.6 (CDD), s.7 (STR obligation), s.9.3(1) (PEP mandatory EDD), s.11.1 (beneficial ownership).
FINTRAC	Financial Transactions and Reports Analysis Centre of Canada. Risk-Based Approach Guidance (2023) defines the five risk dimensions used in this assessment.
OSFI Guideline B-8	AML/ATF guideline for federally regulated financial institutions. Requires documented risk methodology and senior management oversight.
FATF	Financial Action Task Force. Recommendations 10 (CDD), 12 (PEPs), 24 (beneficial ownership). Canada is a FATF member subject to mutual evaluation.

Investigation Framework — The 5 Ws

Each case file is structured around five questions that every KYC analyst must answer before making a disposition decision:

- **WHO —** Who is the client? Who are the beneficial owners? Are any of them PEPs, on sanctions lists, or linked to adverse media?
- **WHAT —** What products are they requesting? What transaction volumes? Is the activity consistent with their declared business purpose?
- **WHEN —** When did the relationship start? When were documents received? What is the review cycle going forward?
- **WHERE —** Where does activity flow? What countries are involved? How do those jurisdictions rank on FINTRAC's geographic risk guidance?
- **WHY —** Why is the activity suspicious — or why isn't it? What specific red flags are present or absent? What is the rationale for the disposition?

Risk Rating Scale

LOW RISK (0–39)	Approve at analyst level. Standard CDD. KYC refresh in 36 months. PCMLTFA s.6.
MEDIUM RISK (40–64)	Approve with enhanced monitoring. VP DD notification. Refresh in 24 months. FINTRAC RBA Guidance.
HIGH RISK (65–84)	HOLD. Mandatory EDD. Escalate to VP DD and High-Risk Client Management. Refresh in 12 months. PCMLTFA s.9.3.
UNACCEPTABLE (85–100)	Decline onboarding. Assess STR obligation under PCMLTFA s.7. Escalate to CCO immediately.

CASE FILE 1 OF 2

Maple Leaf Trading Corp.

Case reference	GTB-DD-2024-0021
Relationship type	New Onboarding
Risk rating	MEDIUM RISK — Composite Score: 46.25 / 100
Disposition	APPROVED — with enhanced monitoring conditions

2.1 Client Profile

Legal entity name	MAPLE LEAF TRADING CORP.
Entity type	Private Corporation — Ontario Business Corporations Act
Jurisdiction	Ontario, Canada
Industry	Import / Export — Mixed Goods (NAICS 425120)
Countries of operation	Canada, United States, South Korea, Mexico
Products requested	Business chequing, SWIFT international wire payments, Trade finance (Letters of Credit), CAD/USD/KRW FX
Monthly volume (est.)	CAD $2,400,000

2.2 Beneficial Ownership

Two Ultimate Beneficial Owners (UBOs) were identified and fully verified in accordance with PCMLTFA s.11.1, which requires identification of all natural persons owning or controlling 25% or more of a corporation.

UBO 1 — Name	MORRISON, JAMES ROBERT
Ownership	60% — majority shareholder
Residence	Canada — Ontario
ID verified	Ontario Driver's Licence — verified
PEP / HIO check	Not a PEP or HIO — confirmed via FINTRAC-approved screening
Sanctions screening	No match — OFAC SDN, UN Security Council, OSFI Consolidated List
Adverse media	None identified
UBO 2 — Name	MORRISON, SARAH LYNN
Ownership	40% — minority shareholder

Residence	Canada — Ontario
PEP / HIO check	Not a PEP or HIO — confirmed
Sanctions screening	No match — all lists clear
Adverse media	None identified

Both UBOs are Canadian residents with verified government-issued ID. No PEP, HIO, sanctions, or adverse media concerns. Ownership structure is simple and fully transparent. UBO complexity is rated LOW.

2.3 KYC Document Status

Document	Status	Notes
Certificate of Incorporation (OBCA)	**Received**	Current and verified
Ontario Corporate Registry search	**Received**	Current as of onboarding date
Beneficial Ownership Declaration (signed)	**Received**	Both UBOs signed
Government ID — UBO 1	**Received**	Ontario Driver's Licence
Government ID — UBO 2	**Received**	Canadian Passport
Audited Financial Statements — FY2022 and FY2023	**Received**	Revenue consistent with declared volumes
Source of Funds Declaration	**Received**	Import/export trade revenue — documented
Anticipated Transaction Volume Declaration	**Received**	Signed by authorized officer
SWIFT / Correspondent Banking Details	**Received**	Primary USD correspondent: JPMorgan Chase, New York
Business Licence / Operating Permit	**Received**	CBSA import/export account confirmed

All 10 required KYC documents have been received and verified. The file is complete and ready for risk assessment.

2.4 Risk Assessment

The client was assessed across five risk dimensions using the FINTRAC Risk-Based Approach framework. Each dimension is scored Low (20), Medium (55), or High (85) and weighted to produce a composite score.

Risk Dimension	Rating	Score	Rationale
Geographic Risk (30%)	**Medium**	16.50	Canada and USA are FATF-compliant. South Korea is a FATF member. Mexico is moderate risk per FINTRAC geographic guidance. Indicator: GR-02.
Industry / Sector Risk (25%)	**Medium**	13.75	Import/export carries elevated TBML risk per FATF guidance. Over/under-invoicing is a known laundering mechanism. Indicator: IS-02.
Product / Channel Risk (20%)	**Medium**	11.00	SWIFT wires and Letters of Credit are higher-risk channels per OSFI Guideline B-8. Volumes are within declared range. Indicator: PC-04.
UBO Complexity (15%)	**Low**	3.00	Two Canadian UBOs, fully verified, no PEP or sanctions issues, simple ownership structure. No indicators applicable.
Adverse Media / Sanctions (10%)	**Low**	2.00	No adverse media or sanctions matches on any list. No FINTRAC intelligence on file. No indicators applicable.
Composite Score	**MEDIUM**	**46.25**	Driven by Mexico geographic risk and TBML sector exposure. Mitigated by clean ownership, complete documentation, and FATF-compliant primary markets.

2.5 Investigation Narrative

WHO: Maple Leaf Trading Corp. is a private Ontario corporation wholly owned by two Canadian residents — James Morrison (60%) and Sarah Morrison (40%). Both UBOs have been fully identified and verified under PCMLTFA s.11.1. Neither is a PEP or HIO. No sanctions matches were found on any applicable list.

WHAT: The client is requesting SWIFT wire payments, Letters of Credit, and FX services to support its import/export operations. Anticipated monthly volume is CAD $2.4 million. The products and volumes are consistent with a trading company of this size and declared business activity.

WHEN: This is a new onboarding request. All KYC documents were received within the standard 14-day collection window. There are no prior STR filings or FINTRAC intelligence on file for this entity or its UBOs.

WHERE: Operations span Canada, the United States, South Korea, and Mexico. Canada, the US, and South Korea are all FATF-compliant jurisdictions. Mexico is classified as moderate risk per FINTRAC's geographic guidance due to narcotics-related financial crime concerns, but this is a standard risk for companies trading in the region.

WHY NOT SUSPICIOUS: The activity is fully consistent with a legitimate import/export business. Source of funds is documented as trade revenue, supported by two years of audited financial statements. The elevated risk dimensions — TBML sector risk and Mexico geographic exposure — are structural to the industry, not indicators of specific suspicious conduct. No red flags suggesting deliberate concealment or structuring were identified.

2.6 Recommendation

APPROVED — Maple Leaf Trading Corp. may proceed to onboarding subject to the following conditions: (1) Enhanced monitoring of SWIFT wire activity to Mexico for the first 12 months. (2) Any single wire transfer exceeding CAD $300,000 to a Mexican counterparty to be flagged for analyst review. (3) KYC refresh scheduled

in 24 months per the medium-risk review cycle. Regulatory basis: PCMLTFA s.6 — standard CDD obligations met. No escalation to VP DD or HRCM required.

CASE FILE 2 OF 2

Golden Bridge Capital Partners LP

Case reference	GTB-DD-2024-0038
Relationship type	New Onboarding
Risk rating	HIGH RISK — Composite Score: 82.0 / 100
Disposition	HOLD — EDD Required. Escalate to VP DD and High Risk Client Management.

MANDATORY EDD TRIGGER — A confirmed Politically Exposed Foreign Person (PEFP) has been identified among the beneficial owners of this entity. Enhanced Due Diligence is mandatory under PCMLTFA s.9.3(1). This file cannot be approved at the analyst level. VP Due Diligence and High Risk Client Management sign-off is required before any onboarding decision.

3.1 Client Profile

Legal entity name	GOLDEN BRIDGE CAPITAL PARTNERS LP
Entity type	Limited Partnership — Ontario Limited Partnerships Act
Jurisdiction	Ontario, Canada
Industry	Private Equity / Investment Fund Management (NAICS 523910)
Countries of operation	Canada, Nigeria, United Arab Emirates
Products requested	High-volume SWIFT international wire payments, Trade finance, Multi-currency FX (CAD/USD/NGN/AED)
Monthly volume (est.)	CAD $8,500,000
Escalation required	VP DD + High Risk Client Management — mandatory before any approval

3.2 Beneficial Ownership — Confirmed PEFP

Two UBOs were identified. During screening, UBO 1 was confirmed as a Politically Exposed Foreign Person (PEFP) under PCMLTFA s.9.3. This classification is based on his role as a former senior government official of a foreign state. PCMLTFA s.9.3(1) requires the following mandatory steps before the relationship can be established:

- Take reasonable measures to establish the source of wealth and source of funds of the PEFP.
- Obtain approval from senior management before establishing the business relationship.

UBO 1 — Name	ADEYEMI, OLUWASEUN KINGSLEY

Ownership	55% — controlling interest (general partner)
Residence	Nigeria / Canada (dual residence claimed)
PEP STATUS	CONFIRMED PEFP — Former Nigerian Minister of Finance (2014–2019). Confirmed via World-Check and Dow Jones Risk & Compliance.
Sanctions screening	No current match — OFAC SDN, UN Security Council, OSFI Consolidated List all clear.
Adverse media	2019: Nigerian media reports re: government contract irregularities during ministerial tenure. No criminal charges filed. Inquiry ongoing.
Source of wealth	OUTSTANDING — mandatory EDD document. Not yet received. File cannot proceed without this.
UBO 2 — Name	AL-RASHID, TARIQ MOHAMMED
Ownership	45% — limited partner
Residence	United Arab Emirates
PEP / HIO check	Not a PEP or HIO — confirmed
Sanctions screening	No match — all lists clear
Adverse media	None identified
Source of wealth — UBO 2	Private equity returns — documented. Third-party verification pending.

The PEP identification for UBO 1 was made at intake screening. This immediately places the file on hold. No further steps toward onboarding may be taken until EDD is complete and senior management approves the relationship.

3.3 KYC Document Status

Document	Status	Notes
Certificate of LP Formation (Ontario)	Received	Verified
LP Agreement — full text	Received	GP and LP roles confirmed
Beneficial Ownership Declaration	Received	Both UBOs declared
Government ID — UBO 1 (Adeyemi)	Received	Nigerian International Passport — verified
Government ID — UBO 2 (Al-Rashid)	Received	UAE National ID — verified
Audited Financial Statements FY2022/FY2023	Received	Reviewed by analyst

PEP Declaration Form (PCMLTFA mandatory)	Received	Signed by UBO 1
Source of Wealth — UBO 1 (PEFP)	**OUTSTANDING**	Mandatory EDD — must be received before approval
Source of Funds Declaration	**OUTSTANDING**	Required to verify lawful origin of capital
Third-party verification — UBO 2 SoW	Pending	External verification in progress — 14 days
SWIFT / Correspondent Banking Details	Received	Nigerian correspondent: Access Bank Nigeria

Two mandatory EDD documents are outstanding. The file is incomplete. Onboarding must not proceed until both are received and reviewed.

3.4 Risk Assessment

All five risk dimensions were assessed. Four of five score HIGH, reflecting the combination of PEP ownership, high-risk jurisdictions, high-volume wire activity, and adverse media.

Risk Dimension	Rating	Score	Rationale
Geographic Risk (30%)	**High**	25.50	Nigeria is a FINTRAC higher-risk jurisdiction with documented AML/CFT deficiencies. UAE is flagged for offshore financial activity and ML exposure. Indicators: GR-03, GR-04.
Industry / Sector Risk (25%)	**High**	21.25	Private equity with PEP involvement and complex cross-border structures is high risk. Investment funds can be used to layer illicit proceeds. Indicator: IS-07.
Product / Channel Risk (20%)	**High**	17.00	High-volume SWIFT wires ($8.5M/month) to Nigeria and UAE is the highest-risk product combination. Multi-currency FX including NGN adds complexity. Indicators: PC-01, PC-03.
UBO Complexity (15%)	**High**	12.75	Confirmed PEFP among controlling owners triggers mandatory EDD under PCMLTFA s.9.3(1). Dual-resident status and UAE co-investor add complexity. Indicators: UB-02, UB-03.
Adverse Media / Sanctions (10%)	**Medium**	5.50	Adverse media for UBO 1 — 2019 Nigerian contract irregularities inquiry during ministerial tenure. Ongoing and unresolved. No current sanctions matches. Indicators: AM-01, AM-02.
Composite Score	**HIGH**	**82.00**	All five dimensions are elevated. Geographic, sector, product, and ownership risk each independently justify EDD. Escalation to VP DD and HRCM is mandatory.

3.5 Investigation Narrative

WHO: Golden Bridge Capital Partners LP is an Ontario limited partnership with two UBOs. UBO 1, Adeyemi Oluwaseun Kingsley (55%, general partner), is a former Nigerian Minister of Finance and has been confirmed as a Politically Exposed Foreign Person under PCMLTFA s.9.3(1). UBO 2, Tariq Al-Rashid (45%, limited partner), is a UAE resident with no PEP designation.

WHAT: The LP seeks high-volume SWIFT wire payments, trade finance, and multi-currency FX services, with anticipated monthly wire activity of CAD $8.5 million. Two mandatory EDD documents remain outstanding — the Source of Wealth Declaration for UBO 1 and the Source of Funds Declaration for the LP. Without these, the legitimacy of the capital base cannot be established.

WHEN: This is a new onboarding request. The PEFP identification was made at intake screening, triggering an immediate hold under PCMLTFA s.9.3(1). The 30-day EDD document collection window has been opened. The file remains on hold pending EDD completion and senior management approval.

WHERE: Operations span Canada (incorporated domicile), Nigeria (primary investment destination), and the UAE (co-investor jurisdiction). Both Nigeria and the UAE are identified by FINTRAC as higher-risk jurisdictions. The combination of both in a single client file materially elevates the geographic risk dimension.

WHY — ESCALATION BASIS: The combination of a confirmed PEFP as majority controlling owner, high-volume wire activity to two higher-risk jurisdictions, unresolved adverse media, and two outstanding mandatory EDD documents creates a risk profile that cannot be approved at the analyst level. The matter is being escalated to the VP, Due Diligence and High-Risk Client Management for senior review and sign-off.

3.6 Recommendation

HOLD — DO NOT ONBOARD. This file is escalated to VP, Due Diligence and High-Risk Client Management. The business relationship must not be established until: (1) Source of Wealth Declaration for PEFP (UBO 1) is received and reviewed, (2) Source of Funds Declaration for the LP is received and verified, (3) Third-party verification of UBO 2 source of wealth is complete, and (4) Explicit senior management approval is documented on the file. Regulatory basis: PCMLTFA s.9.3(1) — PEFP mandatory EDD. FINTRAC PEP Guidance. OSFI Guideline B-8 s.5. FATF Recommendation 12.

Appendix — Key Terms and Regulatory References

The following terms are used throughout this document. All definitions are aligned to Canadian regulatory requirements.

CDD	Customer Due Diligence — identifying and verifying a client's identity, beneficial ownership, and business purpose. Governed by PCMLTFA s.6.
EDD	Enhanced Due Diligence — additional measures for higher-risk clients. Mandatory for PEPs under PCMLTFA s.9.3.
FINTRAC	Financial Transactions and Reports Analysis Centre of Canada — Canada's financial intelligence unit. Receives STRs and publishes AML/ATF guidance.
HRCM	High Risk Client Management — the senior governance body that provides mandatory sign-off on High-Risk onboarding decisions.
KYC	Know Your Customer — the overall framework for identifying and understanding a client's identity, ownership, and business purpose.
LCTR	Large Cash Transaction Report — mandatory report for cash transactions of CAD $10,000 or more. Structuring to avoid this threshold is a criminal offence under PCMLTFA.
PCMLTFA	Proceeds of Crime (Money Laundering) and Terrorist Financing Act, R.S.C. 1991, c. 26 — Canada's primary AML/ATF legislation.
PEFP	Politically Exposed Foreign Person — individual who holds or held a senior public office in a foreign state. Mandatory EDD under PCMLTFA s.9.3(1).
pKYC	Perpetual KYC — continuous monitoring approach where review is triggered by events (director change, sanctions hit, volume spike) rather than a fixed calendar.
STR	Suspicious Transaction Report — mandatory FINTRAC report when there are reasonable grounds to suspect ML or TF. Must be filed within 30 days. Tipping off the subject is a criminal offence under PCMLTFA s.8.
TBML	Trade-Based Money Laundering — laundering proceeds through trade transactions such as over/under-invoicing or falsely described goods. A leading FATF typology.
UBO	Ultimate Beneficial Owner — the natural person who ultimately owns or controls a legal entity. All UBOs holding 25%+ must be identified and verified under PCMLTFA s.11.1.
VP DD	Vice President, Due Diligence — senior approval authority for the GTB DD team. High Risk files require VP DD sign-off before any decision.

Source documents: FINTRAC Risk-Based Approach Guidance (2023) | PCMLTFA R.S.C. 1991 c. 26 | OSFI Guideline B-8 | FATF Recommendations (2023) | FINTRAC ML/TF Indicators Reference | FATF High-Risk and Other Monitored Jurisdictions List (updated quarterly)